

Government Contracting Research for JAM Construction

Minnesota Government Construction Opportunities

State Level Opportunities

Minnesota Department of Transportation (MnDOT)

- **Annual Construction Budget:** Approximately \$2.5 billion
- **Project Types:** Highway construction, bridge projects, road improvements
- **Opportunities for Estimating:**
 - Pre-bid estimating for contractors bidding on MnDOT projects
 - Change order analysis during project execution
 - Material takeoffs for specialized work
- **Bid Schedule:** Monthly letting of projects
- **Requirements:** Certified Payroll (prevailing wage), DBE participation goals

Minnesota Department of Administration

- **Annual Construction Budget:** \$200-300 million for state facilities
- **Project Types:** State office buildings, universities, hospitals, correctional facilities
- **Opportunities:** Large-scale commercial estimating expertise highly valued

Minnesota Pollution Control Agency

- **Project Types:** Environmental infrastructure, water treatment facilities
- **Opportunities:** Specialized construction estimating

Federal Opportunities in Minnesota

GSA (General Services Administration)

- **Project Types:** Federal buildings, courthouses, post offices
- **SBA Small Business Goals:** 23% of federal prime contracting to small businesses
- **Certifications Helpful:** 8(a), HUBZone, SDVOB, WOSB

U.S. Army Corps of Engineers

- **Project Types:** Flood control, environmental restoration, water resource projects
- **Location:** St. Paul District Office serves Minnesota/Wisconsin
- **Annual Projects:** \$100-200 million in construction

USDA/Rural Development

- **Project Types:** Rural infrastructure, water and waste disposal
- **Geographic Focus:** Greater Minnesota outside metro area

Local Government Opportunities

Hennepin County

- **Annual Construction Budget:** \$150 million+
- **Project Types:** Courthouse facilities, park projects, infrastructure
- **DBE Goals:** 17% participation for certified disadvantaged businesses

Ramsey County

- **Annual Construction Budget:** \$100 million+
- **Project Types:** Correctional facilities, administrative buildings, infrastructure

City of Minneapolis

- **Annual Construction Budget:** \$300 million+
- **Project Types:** Parks, streets, public facilities, transit projects
- **Local Hiring Preference:** For city-funded projects

City of Saint Paul

- **Annual Construction Budget:** \$150 million+
- **Project Types:** Public facilities, streets, parks, utilities

Government Contracting Requirements

Bonding Requirements

- **Performance Bonds:** Typically 100% of contract value
- **Payment Bonds:** Typically 100% of contract value
- **Bid Bonds:** Usually 5-10% of bid amount
- **Surety Companies:** Must be Treasury-certified

Insurance Requirements

- **General Liability:** \$1-2 million minimum
- **Workers' Compensation:** Required by law
- **Professional Liability:** Highly recommended for estimators

Certification Programs

- **Minority Business Enterprise (MBE):** Minnesota Unified Certification Program

- **Women Business Enterprise (WBE):** State certification available
- **Small Business Enterprise (SBE):** State program
- **Disadvantaged Business Enterprise (DBE):** Federal certification

Prevailing Wage Requirements

Minnesota Prevailing Wage Law

- Applies to public works projects over \$1,000
- Wage rates determined by Minnesota Department of Labor and Industry
- Penalties for non-compliance
- Monthly reporting requirements

Federal Davis-Bacon Act

- Applies to federal construction projects
- Wage determinations by U.S. Department of Labor
- Certified payroll requirements

Government Estimating Specifics

Different Requirements from Private Projects

- **More Detailed Documentation:** Government projects require extensive documentation
- **Regulatory Compliance:** Multiple layers of oversight and compliance
- **Change Order Procedures:** Strict protocols for modifications
- **Timeline Adherence:** Penalties for delays in government projects

Estimating Considerations for Government Projects

- **Prevailing Wage Calculations:** Factor in higher wage rates
- **Productivity Adjustments:** Government projects may have additional requirements
- **Extended Overhead:** Longer project durations may affect overhead calculations
- **Compliance Costs:** Factor in additional compliance requirements

Minnesota Public Procurement Process

Pre-Bid Phase

- **Plan Rooms:** Plans available for review before bidding
- **Pre-Bid Meetings:** Required attendance for many projects
- **Site Visits:** Often mandatory for major projects
- **Bid Protests:** Process for challenging bid specifications

Bidding Process

- **Sealed Bids:** Most public projects use sealed bid process
- **Public Opening:** Bids opened publicly at specified time
- **Low Responsive and Responsible Bidder:** Award to lowest qualified bidder
- **Debarment List:** Check for debarred contractors

Post-Award Process

- **Contract Execution:** Quick turnaround required after award
- **Performance Security:** Bonds required before contract execution
- **Progress Payments:** Monthly billing with retention
- **Final Payment:** After completion and acceptance

Opportunities for Estimating Services in Government Sector

Pre-Bid Services

- **Detailed Estimating:** For contractors bidding on public projects
- **Risk Assessment:** Analysis of government contract requirements
- **Compliance Review:** Ensuring bids meet all requirements
- **Bonding Support:** Helping contractors understand bonding requirements

Post-Award Services

- **Cost Tracking:** Monthly cost reporting and analysis
- **Change Order Pricing:** Government change order procedures
- **Compliance Monitoring:** Ensuring adherence to contract terms
- **Final Cost Analysis:** Project closeout and analysis

Marketing to Government Contractors

Target Market

- **Established Government Contractors:** Companies with existing government experience
- **Growing Contractors:** Companies looking to expand into government market
- **Specialty Contractors:** Those focusing on specific government project types

Marketing Approach

- **Certification Assistance:** Help clients navigate certification processes
- **Education:** Seminars on government contracting requirements
- **Network Building:** Relationships with established government contractors
- **Subcontracting:** Position as specialty subcontractor to larger firms

Funding and Financing for Government Contractors

Government Contractor Financing

- **Contract Financing:** Lenders familiar with government payment cycles
- **SBA Surety Bond Guarantee:** For contractors needing bonding assistance
- **Equipment Financing:** For specialized government construction equipment

Payment Considerations

- **Payment Delays:** Government payments often slower than private sector
- **Retention:** Standard 10% retention on government projects
- **Prompt Payment:** Minnesota law requires payment within 30 days

Competitive Advantages for Government Work

JAM Construction Advantages

- **Commercial Experience:** Government projects often follow commercial practices
- **Detail Orientation:** Government work requires meticulous attention to detail
- **Documentation:** Government projects require extensive documentation
- **Regulatory Knowledge:** Understanding of complex requirements

Differentiators in Government Market

- **Prevailing Wage Expertise:** Understanding of wage requirements
- **Compliance Knowledge:** Experience with government regulations
- **Documentation Skills:** Ability to provide required documentation
- **Quality Focus:** Government projects require high quality standards

Recommended Next Steps

1. **Training:** Obtain training on government contracting requirements
2. **Certifications:** Pursue relevant business certifications (SBE, MBE, etc.)
3. **Networking:** Join Minnesota Construction Association and government contracting groups
4. **Partnerships:** Develop relationships with established government contractors
5. **Marketing:** Develop government contractor marketing materials
6. **Systems:** Implement systems for compliance tracking and reporting